sense of the tribunal to follow a 'regulatory judgment' rule and not intervene in a broad array of matters, but does this not imply a double standard – we trust the tribunal's judgment but not the regulator. More likely, though, past experience suggests that entities like to justify their existence, and if set up, a tribunal will intervene more than necessary.

A second danger is that easing the appellate process will invite appeal. In a developed country with well-established regulations, a case history of judgments, and speedy courts, this would not be a problem. In India, where the financial system is developing and many new regulations have to be framed (more so if we move to a principles-based approach for legislation), while the judiciary will have a significant amount of learning to do even while judicial processes have been slow, the encouragement to appeal could paralyse the system and create distortions, as needed regulations are held up and participants exploit loopholes.

Finally, in every country, a healthy respect for the regulator serves to keep participants on the straight and narrow. In a developing country, where private behaviour is less constrained by norms or institutions, this is especially important. But to the extent that private parties with their high-priced lawyers can check the regulator, that healthy respect dissipates. So the final danger is that the regulator could become a paper tiger, and lose his power of influencing good behaviour, even in areas that are not subject to judicial review.

Am I arguing that no checks and balances are needed? Certainly not! But there are already checks and balances in place, including the fact that high courts can review regulatory decisions and that the regulator is appointed, and can be removed, by democratically elected representatives of the people. The FSLRC recommends an annual report to parliament, as well as regular discussions with